

Semiconductor Capital Equipment | North America

Japan Takeaways

We come away from Japan slightly more positive on NAND WFE, neutral on Intel capex, and more measured on pricing.

Key Takeaways

- Initial signs of non-China NAND greenfield spending are emerging but Intel orders outside of process control have not yet inflected.
- TEL is enthusiastic on pricing, though we view this as more idio (yen/GM%).

Demand is strong, and the industry is preparing for it, but we know that. Equipment makers and suppliers expressed confidence in 2026 WFE growth, with repeated mentions of unprecedented pull-in requests and project expedites from DRAM customers, as well as continued momentum in leading-edge logic. While the supply chain remains somewhat guarded on its 2027 growth outlook, every equipment maker appears to be preparing for a \$180bn+ WFE environment, with repeated indications that they do not intend to be the bottleneck.

What about NAND and Intel? Initial signs are emerging in NAND, but not from Intel. While our \$190bn WFE estimate may be close to consensus, we do not think our enthusiasm around NAND and Intel is. On NAND, Kioxia’s FY3/27 capex guide of ¥450bn will be majority equipment, but total spending remains below 2018/2022 levels. TEL is starting to see NAND greenfield activity ex-China, though the excitement is more measured than in DRAM, where the company is seeing unprecedented expedites. We continue to think clean room availability, profitability, and bit demand will drive an acceleration in NAND WFE in 2027. **That said, while the early signs are there, it is clear our thesis will not be realized in the near term. On Intel, the early signs are not there.** We continue to view higher capex as inevitable but companies have not seen an increase in orders (ex-process control). Intel has made clear that foundry spending will follow customer acquisition, so we were not expecting a foundry-driven uptick. However, we were surprised to hear there has been no uptick on the IDM side either. We remain confident in our thesis, but the early evidence has yet to emerge.

What about pricing? Views are mixed. US SPE earnings did little to increase confidence that companies will be able to raise tool pricing, and feedback from Japan was also mixed. TEL expressed confidence, but we view this as somewhat idiosyncratic given yen weakness and its GM profile versus AMAT and LAM, with TEL in the mid-40% range versus roughly 50% for AMAT and LAM. Equipment companies continue to be rewarded for “value” rather than tool availability, and cost pass-through is usually the extent of price increases. As a result, our optimism on pricing and gross margins is more measured.

Please see the following section for company specific write-ups and US SPE implication. *Lasertec, Ebara, and Tokyo Electron covered by Suzune Tamura. Renesas and Kioxia covered by Kazuo Yoshikawa.*

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Meeting Recaps

Ebara – Confident on share gains, but we'll see. Ebara saw extremely strong orders in the MarQ (¥114.6bn, +67% q/q), as customers front-loaded orders to secure capacity for the full year. In CMP, the company's goal is to continue gaining share from AMAT. Ebara's strength is in metal polishing, which should grow with increased adoption of hybrid bonding. The company is confident it is not losing share to Hwatsing in China, especially with leading-edge customers. Ebara is building a new fab in Kumamoto to meet its 2030 targets, but if orders continue to front-load, the company will discuss incremental capacity build-out. **Our view AMAT (+/-):** AMAT's CMP share has declined from 66% in 2021 to 50% in 2025, as the company has gradually lost share in China while Ebara has strengthened its position in logic. Our understanding is that CMP intensity will increase in advanced packaging and backside power, with AMAT well positioned for both, especially advanced packaging, where we are hearing of wins at TSMC. We are not ready to underwrite further AMAT share loss, given the China headwind has largely subsided.

Kioxia – First signs of capex, but still early days. Discussion focused on the nature of LTAs, as Kioxia is currently doing business under normal business practices: one-year LTAs fixed at the end of 2025, with quarterly price negotiations. Multi-year LTAs begin in CY27, with every customer showing interest, but the company's stance appears to be to lock in contracts gradually, as pricing is moving quickly and Kioxia is not looking to sign unfavorable contracts. Kioxia's stance is to grow bits in line with, or slightly above, the market, with F3/27 capex guided to ¥450bn and most spending directed toward equipment. **Our view LAM/MKSI (+/-):** Our positive view on NAND WFE in 2027 is premised on cleanroom availability, profitability, and bit demand. Kioxia has cleanroom availability, and JunQ OPM is 74%. However, manufacturers remain capital disciplined, and we are unlikely to see a substantial pickup in spending in the near term.

Lasertec – All about A200 HiT. Lasertec will begin shipping ACTIS A200 HiT in Jul/Sep, with orders from multiple logic wafer fab customers. While the usual ACTIS lead time is 1.5 years, Lasertec prepared A200 HiT systems in advance, so system installation will occur in 2H. Orders will be upsized in CY27 if customers are satisfied with the R&D/evaluation results from the initial one to two tools. **Our view KLA (-):** Lasertec is making clear improvements to its actinic tool and is receiving customer traction. We do believe customers are eager to evaluate KLA, but Lasertec is executing.

Renesas – Semi-leading-edge tightness, mature node less so. Renesas is starting to see substantial AI tailwinds, as memory interface products used for CPUs are seeing strong demand, along with power products, where demand is strong from both GPU and ASIC customers. The company indicated that while data center revenue is forecast to double this year, growth could have been far stronger, at 3–4x, if foundry capacity had been available. In-house capacity is approximately 210kwpm, and utilization is 55%, but capacity is focused on mature nodes where demand is not as high. For outsourced products at 40/28nm, demand is high and foundry supply is tight, with Renesas indicating that it is negotiating price hikes with customers and that discussions are in the final phase. **Our view US SPE (+/-):** We are starting to see real pockets of tightness in mature nodes, particularly 28/40nm, but we also see hesitation across IDMs to immediately raise capex, given utilization levels are still somewhat subdued. We think mature logic WFE revision

risk is skewed to the upside, but near-term revisions are likely to be marginal rather than substantial.

Tokyo Electron – Waiting on Intel, but not on pricing. Regarding Intel, TEL has not received an uptick in orders, most likely as Intel still holds tool inventory from when it over-purchased. Sales mix is LSD% right now, as Intel is not a major contributor in 1H. In memory, DRAM customers have continued to ask for expedites, with certain plans moving forward much faster than initially expected. The company is also starting to see NAND greenfield activity ex-China. To take advantage of the operating environment, TEL is looking to raise pricing, with a target of increasing GM from the current mid-40s level to 50% in F3/28, with slight improvement starting in 2H F3/27. **Our view US SPE (+/-):** We think TEL's confidence on pricing is slightly more idiosyncratic, as its GM is in the mid-40s, below AMAT/LAM at 50%. That said, we do think the company is in a strong position to leverage pricing, given that it is meeting customer expedite requests and aggressively ramping its supply chain. TEL's confidence on the broader WFE cycle is a positive takeaway for our coverage.

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INDUSTRY COVERAGE: Semiconductor Capital Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/28/2026)
Shane Brett		
Applied Materials Inc. (AMAT.O)	E (05/18/2026)	\$449.68
Camtek (CAMT.O)	E (12/01/2025)	\$174.78
KLA Corp (KLAC.O)	O (01/15/2026)	\$1,927.63
Lam Research Corp (LRCX.O)	O (05/18/2026)	\$318.00
MKS Inc. (MKSI.O)	O (08/04/2024)	\$323.41
Nova Ltd (NVMI.O)	E (12/01/2025)	\$505.97
Teradyne Inc (TER.O)	E (07/30/2025)	\$382.65

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.